



HARAMBEE UNIVERSITY

FACULTY OF BUSINESS AND ECONOMICS

DEPARTMENT OF MANAGEMENT & BUSINESS ADMINISTRATION

Strategic and Project Management Theme Model Exam

Time Allowed: 2:00

General Direction:

- Make sure that the exam paper contains three parts (Part I – Project Management, Part II – Strategic Management and Part III – Entrepreneurship).
- Attempt all questions
- Follow the instructions in each part and write your answers in **Capital letters only** on the answer sheet provided.
- Switch off your mobile phone
- **Any kind of cheating or attempting to cheat or/and letting others to cheat will disqualify your result (F) on the course.**

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO!

Feb. /2023

Part I: Project Management

Instruction: Choose the best answer among the alternatives

1. Which of the following is not project management goal?
 - A. Keeping overall costs within budget
 - B. Delivering the software to the customer at the agreed time
 - C. Maintaining a happy and well-functioning development team
 - D. Avoiding customer complaints
 - E. All of the above
2. The difference between programs and projects may not be accounted to:
 - A. The difference in scope
 - B. Presence or absence of goals and objectives
 - C. Specification and non-specification of beneficiary groups
 - D. Difference in clarification of fund allotment and financial resource allocation
 - E. All of the above
 - F. None of the above
3. All are basic features of project, except?
 - A. Simplicity of purpose
 - B. Independent control:
 - C. Ease of measurement:
 - D. The entire above
 - E. None of the above
4. _____ is one competitive forces of profit potential of Michael porter theory, that focus on the stiff competition among existing firms in terms of price, quality, promotion, service, warranties, and so on?
 - A. Threat of new entrants
 - B. Pressure from substitute products
 - C. Bargaining power of buyers
 - D. Bargaining power of suppliers
 - E. All of the above
 - F. None of the above
5. Which one of the following are not macro/external environmental factors that affect the identification and formulation of project ideas?
 - A. Competition sector
 - B. The social and cultural factors
 - C. The economic factors
 - D. The political and legal
 - E. All of the above
 - F. None of the above
6. The process each manager follows during the life of a project is known as?
 - A. Project Management
 - B. Manager life cycle
 - C. Project Management Life Cycle
 - D. All of the above mentioned
 - F. None of the above
7. "Risk" is usually _____ as the project progresses.
 - A. Increased
 - B. Reduced

- C. Remained same
D. Become negligible
8. Assembling project team and assigning their responsibilities are done during which phase of a project management?
A. Initiation
B. Planning
C. Execution
D. Closure
E. The entire above
F. None of the above
9. Quality planning is the process of developing a quality plan for
A. Team
B. Project
C. Customers
D. Project manager
E. All of the above
F. None of the above
10. The basic nature of a project is a/an _____ one?
A. Permanent
B. Temporary
C. (A) or (B)
D. Both (A) and (B)
E. The entire above
F. None of the above
11. A process that involves continuously improving and detailing a plan as more detail become available is termed as:
A. Project analysis
B. Project enhancing
C. Progressive deliberation
D. Progressive elaboration
E. The entire above
F. None of the above
12. A program is usually a group of _____?
A. Plans
B. People and work
C. Related projects
D. Unrelated projects
E. The entire above
F. None of the above
13. Which from the following statement(s) is/are NOT true?
I. *Projects have defined objectives*
II. *Programs have a larger scope than projects*
III. *The projects and programs in a portfolio must be directly related*
A. I only
B. II only
C. III only
D. II and III only
E. The entire above
F. None of the above
14. All are Qualitative/ Judgmental project demand forecasting techniques, except?
A. Sales force Opinions
B. Expert Opinion methods
C. Delphi Method
D. The entire above
E. None of the above
15. All are basic Features of project, except?
A. Simplicity of purpose
B. Ease of measurement:
C. Independent control:
D. The entire above
E. None of the above
16. Which one of the following is not a project implementation activity?
A. Detail design & specification are drawn.
B. Bids are invited & evaluated
C. Tender documents are prepared

- D. Find out how things are going
 - F. The entire above
 - F. None of the above
17. Which one of the following is more suitable technique for estimating the market demand for intermediate a project product?
- A. End use method
 - B. Weighted Moving average
 - C. Simple Moving average
 - D. The entire above
 - E. None of the above
18. Which one of the following statements is true?
- A. Independent reviews and quality audits form part of quality assurance to ensure the project manager delivers on time and to budget.
 - B. Quality assurance provides confidence to stakeholders that requirements for quality will be exceeded.
 - C. Quality control verifies that the project deliverables conform to specification, are fit for purpose and meet stakeholder expectations.
 - D. Quality planning enables the project manager to manage the trade-off between customer expectations and budget.
 - E. The entire above
19. Project risk management is best described as:
- A. Managing responses to threats.
 - B. Identifying and acknowledging threats and opportunities.
 - C. Planning responses to threats.
 - D. Minimizing threats and maximizing opportunities.
 - E. None of the above
20. Which one of the following best describes a project issue?
- A. A major problem that requires formal escalation.
 - B. A problem that the project manager has to deal with on a day-to-day basis.
 - C. An uncertain event that may or may not occur.
 - D. An opportunity that occurs through change control.
 - E. The entire above
 - F. None of the above
21. Scheduling can best be defined as the process used to determine:
- A. Overall project duration.
 - B. Project cost estimating.
 - C. The project management plan.
 - D. Sub-contractor's responsibilities.
 - E. The entire above
 - F. None of the above
22. Which one of the following statements is true?
- A. An increase in project scope is likely to increase project cost.
 - B. A decrease in the project time is likely to increase project quality.
 - C. An increase in the project quality requirements is likely to decrease project cost.
 - D. A decrease in the project cost is likely to decrease project time.
 - E. The entire above
22. Which one of the following statements best defines the purpose of a Product Breakdown Structure (PBS)?
- A. To define the hierarchy of deliverables that are required to be produced on the project.

- B. To define how the products are produced by identifying derivations and dependencies.
 - C. To establish the extent of work required prior to project commissioning and the handover.
 - D. To identify the health and safety strategies and procedures to be used on the project.
 - E. The entire above
 - F. None of the above
23. Project reporting can best be defined as:
- A. Informing stakeholders about the project.
 - B. Storing and archiving of project information.
 - C. Gathering stakeholder feedback.
 - D. Collecting project information.
 - E. The entire above
24. Which one of the following statements best defines an estimate?
- A. An approximation of project time and cost targets, refined throughout the project life cycle.
 - B. A prediction of a future condition or event based on information or knowledge available now.
 - C. The value of useful work done at any given point in a project to give a measure of progress.
 - D. A situation that affects or influences the outcome of the project expressed in time or cost terms.
 - E. The entire above
25. The justification for the investment to be made in a project is documented in the:
- A. Cost Breakdown Structure.
 - B. Procurement strategy.
 - C. Business case.
 - D. Project Management Plan.
 - E. The entire above
26. Which one of the following is a responsibility of the project steering group/board?
- A. To identify potential problems for the project team to solve.
 - B. To provide strategic direction and guidance to the sponsor.
 - C. To manage the project team in all daily activities.
 - D. To receive and consider daily reports from team members.
 - E. None of the above
27. One of the reasons a project life cycle is split into phases is to:
- A. Facilitate formal go/no-go decision making during the project.
 - B. Balance the costs of work in each phase of project development.
 - C. Mirror the major deployments of resources throughout the project.
 - D. Chunk work into time periods of similar durations.
 - E. The entire above
28. Which of the following best describes a project environment?
- A. The type of organization concerned with implementation.
 - B. The structured method used to control the project.
 - C. The context within which a project is undertaken.
 - D. An understanding of the risks involved in the project.
 - E. None of the above
29. Which one of the following statements best describes a project?
- A. A project is a set of tools and techniques often used when delivering organizational change.
 - B. A project is the sum of activities needed to remove uncertainty from a unique piece of work.
 - C. A unique transient endeavor undertaken to achieve a desired outcome.

- D. A project is a method of planning work.
 - E. None of the above
30. The document that identifies what information needs to be shared, to whom, why, when and how is called the:
- A. Communication management plan.
 - B. Stakeholder mapping grid.
 - C. Document distribution schedule.
 - D. Responsibility assignment matrix.
 - E. The entire above
31. An important aim of a post-project review is to:
- A. Validate overall progress to date against the budget and schedule.
 - B. Capture learning and document it for future usage.
 - C. Ensure acceptance of all permanent documentation, signed by the sponsor.
 - D. Establish that project benefits have been identified.
 - E. None of the above
32. The process that evaluates overall project performance to provide confidence is called:
- A. Quality assurance.
 - B. Quality planning.
 - C. Quality control.
 - D. Quality audit.
 - E. The entire above
33. Which one of the following statements about the project risk register is false?
- A. It facilitates the review and monitoring of risks.
 - B. It facilitates the risk appetite.
 - C. It facilitates the recording of risk responses.
 - D. It facilitates the recording of risks.
34. Which one of the following statements best defines procurement?
- A. A technique to establish the best approach for obtaining the resources for the project.
 - B. A group of interrelated resources and activities that transform inputs into outputs.
 - C. The description of the purpose, form and components to support delivery of a product.
 - D. The process by which products and services required for the project are acquired.
35. The cash inflows and (outflows) associated with a project are as follows: At start (120000) , Year1-40000, Year2-50000, Year3-60000, Residual Value(at the end of 3rd year)-20000. The payback period for this project would be:
- A. 2 years and 3 months
 - B. 2 years and 6 months.
 - C. 3 years.
 - D. 2 years.
 - E. None of the above
36. A Firm is considering undertaking a project that would yield annual profits (after depreciation) of Rs 68,000 for 5 years. The initial outlay of the project would be Rs 800,000 and the project's assets would have a residual value of Rs 50,000 at the end of the project. What would be the accounting rate of return for this project?
- A. 16%

- B. 8.5%
- C. 8.0%
- D. 9.1%
- E. None of the above
37. A firm is about to undertake a project and has decided to purchase a equipment costing Rs 45000.the expected cash inflows from the purchase are Year 1- Rs 15000 , Year 2- Rs 20,000, Year 3- : Rs 25000, Year4- Rs 10000, Year 5- Rs 5000. What is the Net present Value of the project if the cost of capital is 10%
- A. Rs 13881
- B. Rs 15444
- C. Rs 1566
- D. Rs 12998
- E. None of the above
38. The Debt service coverage ratio refers to _____?
- A. Measurement of Total cash inflows
- B. measurement of firm's available cash flow to pay their Debt obligation
- C. Measurement of Firms total Income
- D. Measurement of firms total Equity and Debt
39. In a payback period method of project evaluation and appraisal the project with _____ or equal to cut off period will be accepted.
- A. More than
- B. Less than
- C. Positive
- D. Negative
- E. All of the above
40. A company is considering investing surplus funds in a project. Calculate the NPV at 10 % discount rate for the following data:

Project	Year 0	Year 1	Year 2
A	(100)	100	100

- A. 73.5
- B. 173.5
- C. 273.5
- D. 100
- E. All of the above

Name _____ ID No. _____

Department _____ Section _____

Course Name _____

Multiple Choice

1.	11	21.	31.
2.	12.	22.	32.
3.	13.	23	33.
4.	14.	24.	34.
5.	15.	25.	35.
6.	16.	26.	36.
7.	17.	27.	37.
8.	18.	28.	38.
9.	19	29.	39.
10.	20	30.	40.

Part II: Strategic Management

Instruction: Choose the best answer among the alternatives

_____ 1. One of the following refers to external factor that could significantly benefit or harm an organization in the future.

- A. Opportunity and strength
- B. Opportunity and threat
- C. Threat and weakness
- D. Strength and weakness

_____ 2. One of the following is correct about vision statement.

- A. Focus on current service offering
- B. Concerns a future firm's business
- C. Focus on business capabilities
- D. Concerns customer needs being served

_____ 3. Financial benefits of strategic management is

- A. Reduce resistant to change
- B. Empowering managers and employees
- C. Profitability
- D. Enhancing the awareness of external threats.

_____ 4. Which one of the following is the characteristics of mission statement?

- A. Too broad
- B. Vague
- C. Feasible
- D. B and C

_____ 5. One of the following is criteria for effective goal.

- A. Specific and measurable
- B. Set for every aspect of firm's performance.
- C. Unrealistic
- D. None.

_____ 6. One of the following is importance of mission statement.

- A. To provide basis for resource allocation.
- B. To ensure difference of purpose within the firm.
- C. To establish distinct tone in the firm.
- D. A and C.

_____ 7. Strategic Business Unit is responsible for

- A. New product decision
- C. Price setting
- B. Business selection
- D. A and C

_____ 8. Which one of the following is true about strategic formulation?

- A. Positioning forces before the action
- C. An operational process
- B. Managing forces during the action
- D. A and C

_____ 9. Corporate Strategy is responsible for

- A. New product decision
- C. Price setting
- B. Business selection
- D. A and C

_____ 10. Which one of the following is true about strategic implementation?

- A. Positioning forces before the action
- C. An operational process
- B. Managing forces during the action
- D. B and C

_____ 11. Concurrent control is takes place while

- A. An activity is in progress
- B. At the end of an activity

C. At the beginning of an activity D. All

_____ 12. Which type of strategy do we implement, when the company has a weak competitive position in all of its product line resulting in poor performance?

A. Restructuring B. Retrenchment
C. Acquisition D. B and C

_____ 13. Which one of the following control system is designed to ensure the day to day activities?

A. Strategic control B. Premises control
C. Operational control D. A and C

_____ 14. External environment does not involve

A. The opportunity and threats B. Micro environment
C. Macro environment D. Strength and weakness of the firm

_____ 15. Feed forward control is

A. Preventive control B. Output control
C. Ongoing control D. All

_____ 16. Which one of the following is not true about policy

A. Guide line of the organization B. Decides what to do of the firm
C. States how to do of the firm D. Principle of the firm

_____ 17. Bureaucratic control relies on

A. Values B. Written document
C. Corporate culture D. All except C

_____ 18. One of the following is correct about objective

A. Criteria for action B. It is Statement of procedure
C. Expressed in qualitative form D. Restricts freedom of action

_____ 19. One of the following is advantageous controlling method over the other

A. Feed forward B. Concurrent
C. Feed backward D. All Except B

_____ 20. What makes goal different from objective

A. Tangibility B. Preciseness
C. Broadness D. Narrowness

_____ 21. The new firm entrance into industry represents

A. Threat to the existing firm B. Threat to the new business
C. Opportunity to the new business D. Opportunity to the existing firm

_____ 22. One of the following is not criteria for good policy

A. Client focused B. Aligns with the goal
C. Quantitative D. Open to change

_____ 23. What are the sources of competitive advantages?

A. Achieving low quality B. Reputation

- C. Using updated technology D. B and C

_____ 24. Strategy should answer one of the following question

- A. Where are we now? B. How do we get there?
C. Where do we want to go? D. All

_____ 25. The main purpose of organizational control is

- A. To guide the use of strategy B. To reward best achiever
C. To suggest corrective action E. All Except C.

_____ 26. One of the following is true about strategic control

- A. Time for strategic control is longer B. It is oriented to current situation
C. Its standard is based on internal D. All
factors

_____ 27. Which one of the following is broad and comprehensive than others?

- A. General policy B. objective
C. Specific Policy D. All

_____ 28. One of the following is qualitatively expressed

- A. Policy B. Objective
C. Goal D. None

_____ 29. All are characteristics of policy except

- A. Memorable B. Inclusive
C. Flexible D. Measurable

_____ 30. Strategy which governs the entire organization

- A. Corporate strategy B. Business strategy
C. Internal unit strategy D. None

_____ 31. Mission statement determines

- A. Market to be pursued B. Customer need being served
C. Firm's future technology D. None

_____ 32. All are essential features of policy except

- A. Clear B. flexible
C. measurable D. Understandable

_____ 33. Strategy recognizes all except

- A. Current status of the firm B. Competitors capability
C. Means of implementation D. None

_____ 34. One of the following is quantitatively expressed

- A. Mission B. vision
C. objective D. All except B

_____ 35. All are criteria's for good policy except

- A. Client focused B. Inspiring
C. Abstract D. B and C

_____ 36. Value which is related to day to day operation

- A. Operational value B. Strategic value
C. Individual value D. A and C

Answer Sheet

Name _____ ID No. _____

Department _____ Section _____

Course Name _____

Multiple Choice

11.	11	21.	31.
12.	12.	22.	32.
13.	13.	23	33.
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17.	17.	27.	37.
18.	18.	28.	38.
19.	19	29.	39.
20.	20	30.	40.

Part III – Entrepreneurship**Instruction: Choose the best answer among the alternatives**

- What is the base for the definition of micro and small enterprises employed in Ethiopia?
 - Total capital and number of employees
 - Total revenue and number of employees
 - Total capital, total revenue and number of employees
 - Total capital and total revenues
 - None of the above
- Which one of the following is not the constraint of micro and small enterprise growth in Ethiopia?
 - Lack of adequate infrastructure

- B. Lack of working premises
 - C. Lack of access to capital
 - D. Lack of know how in the field of management and accounting
 - E. All are not the constraints
- 3 Which one is the role of micro and small enterprises in the economy?
- A. Creating an employment for the large part of the society.
 - B. Support in the GDP contribution of the country
 - C. Contribute in supporting large enterprises
 - D. They transform resources into useful goods and services, often creating the circumstances that lead to industrial growth.
 - E. All of the above
- 4 _____ is attractive idea or proposition that provides the possibility of a return for the investor or the person taking the risk.
- A. Business strategy
 - B. Business opportunity
 - C. Market strategy
 - D. all
- 5 Which one is not a Source of Business Ideas?
- A. Hobbies/Interests
 - B. Personal Skills and Experience
 - C. Franchises
 - D. Mass Media
 - E. None

6 Which one is a business plan basic objectives for new venture?

- A. It identifies the nature and context of the business opportunity.
- B. It presents the approach the entrepreneur plans to take to exploit the opportunity.
- C. It identifies the factors that will most likely determine the success of the venture.
- D. It serves as a tool to raise financial capital.
- E. All

7 Which one is not element of The Cover of a business plan?

- A. Name and business name
- B. Company logo
- C. Address
- D. Business description
- E. Telephone number

8 The Business description part of a business plan includes the following except:

- A. An overview of the industry
- B. A description of the company.
- B. A detail of marketing strategy
- C. The company's positioning.
- D. Descriptions of the company's products or services

9 Which one is not sales and marketing section of a business plan?

- A Sales and Marketing Strategy
- B. Method of Sales
- C Advertising and Promotion
- E. Method of financing
- F. None

10. Which statement is true about Sole-Proprietorship and partnership?

- A. In Sole-Proprietorship, the owners will be more than one person.
- B. Partnership is more risky than Sole-Proprietorship
- C. Partnership is difficult than Sole-Proprietorship to form
- D. A&B
- E. None

11. Which one is not the advantage of partnership?

- A. Easy to form
- B. Low costs to start
- C. Unlimited liability
- D. Added capital sources
- E. Shared management

12. Which form of legal ownership is liable to double taxation?

- A. Sole proprietorship
- B. Limited company
- C. Partnership
- D. None

13. Unlimited liability is both the disadvantage of :

- A. Sole proprietorship and partnership
- B. Sole proprietorship and Limited company
- C. Limited company and partnership
- D. None

14. The Articles of Partnership provision contains:

- A. division of profit or loss
- B. compensation to each partner
- C. distribution of assets in the event of dissolution
- D. duration of the partnership
- E. All are possible answers

15. is setting up of an export department within the firm or having the firm's sales force sell directly to foreign customers or marketing intermediaries.

- A. Direct exporting
- B. Licensing
- C. Indirect exporting
- D. Joint-venture

E. None

16. Which statement is not true about franchising and licensing?

- A. Franchising differs from licensing in the depth and scope of quality controls
- B. Franchise agreement is more comprehensive than a regular licensing
- C. Franchising is always effective growth strategy than licensing
- D. A&B

17. Which one is not the advantage of exporting?

- A. It Avoid substantial costs of establishing manufacturing operation the host country.
- B. It may help a firm achieve experience curve and location economies.
- C. High transportation costs particularly for bulk products.
- D. None

18. Which one is an objective of a joint venture?

- A. market entry
- B. risk reward sharing,
- C. technology sharing and joint product development
- D. Conforming to government regulations

19. Which statement is true about Strategic alliance?.

- A. In strategic alliance ,two or more entire firms pool their resources directly in a collaboration
 - B. In strategic alliance establishment of an independent is mandatory
 - C. In strategic alliance establishment of an independent is not mandatory
 - D. A&C
20. _____ is doing something new or something different
 A. innovation B. risk-bearing C. Creativity D . all
21. _____ is the one who combines the land of one, the labor of another and capital of yet another, and thus produces a product.
 A. entrepreneur B. Entrepreneurship C. Manager D. all
22. Who says Entrepreneurs are a product of particular social condition in which they are brought up and it is the society which shapes individuals as entrepreneurs.
 A. F.A.Walker B. Peter F. Drucker C. E. E.Hagen D. Max Weber
23. Takes repeated or different actions to overcome obstacles.
 A. Initiative B. Perceiving opportunities C. Persistence D. Information gathering
24. _____ is possible through vision, insight, keen observation, education, experience and exposure.
 A. Idea generation B. Idea C. Opportunity D. Opportunity Seeking
25. Innovation can be:
 A. Disruptive B. Sustaining C. Nourishing
 D. Answer a and b
26. Opportunity discovery can be enhanced with which of the following?
 A. Prior knowledge B. Work experience
 C. Education and personal events D. All of the above
- 27 . Which of the following represent stages in creative problem solving?
 A. Preparation, incubation, insight, evaluation, elaboration
 B. Preparation, insight, evaluation, and elaboration
 C. Preparation, evaluation and profit making
 D. None of the above
28. Identifying business opportunities could be considered to be a linear process.
 a. True b. False
29. Shumpeter identifies five types of innovation as:
 A. A new process, a new market, a new supply chain, a new business/industry, and a new product

- B. A new process, emerging market, a new supply chain, logistical advance, and a new product
- C. A new process, a new supply chain, a new product, revived market, a sustainable plan for growth
- D. None of the above

30. According to Horovitz (1997), a true entrepreneur is someone who:

- A. Knows the right people, can form effective teams, move quickly and deliver on plans
- B. Is a good team player, has an analytical mind, and is highly intelligent
- C. Enjoy social situations, is highly educated and from a wealthy background
- D. Is a natural introvert, usually has few professional connections, and is of limited academic ability

31. What is the reported percentage of women led businesses internationally?

- A. 50% B. 33% C. 25%

32. Which one of these resources is not reported as a challenge to women entrepreneurs?

- a. Access to capital b. Access to networks
- c. Access to family support d. Socio cultural role of women

33. What are the two biggest challenges for graduate entrepreneurs?

- A. a lack of business skills and access to finance
- B. losing contact with their university network and forgetting what they learned
- C. fending off multiple job offers and pleasing their parents
- D. None

34. What is social enterprise?

- A . Social enterprises are not for personal profit organisations that derive the majority of their income from the government.
- B . Social enterprises are not for personal profit organisations that derive the majority of their income from grants and donations.
- C . Social enterprises are for personal profit but have a social mission.
- D . Social enterprises are not for personal profit enterprises that derive a minimum of 25% to 50% of their income from trading.

35. Which of the following is not of the four models of corporate entrepreneurship?

- A. The enabler B.The opportunist
- C. The marketer D. The advocate

36. Which environmental turbulence has created a need for new management practices?

- A . Human resources management C.Production
- B. Competitors D.All of the above

37. What is intrapreneurship?

- A. A process whereby individuals inside corporations pursue opportunities independent of the resources they currently control
- B. A process to expand the scope of operations and investments

- C. A process to facilitate the investment opportunities in profitable projects
D. All of the above

38. What attributes might make someone more likely to become a successful entrepreneur?

- A. The need for achievement and a high-tolerance for ambiguity
B. Willingness to bear risk and Self-efficacy
C. Internal locus of control
D. All of the above

39. What are the sources of entrepreneurial motivation?

- A. Intrinsic
B. Extrinsic
C. Neither of the above
D. Both intrinsic and extrinsic sources

40. In what year was the role of the entrepreneur given credit in relation to economic theory?

- A. 1923
B. 1883
C. 1730
D. 1768

Answer Sheet

Name _____ ID No. _____

Department _____ Section _____

Course Name _____

Multiple Choice

1.	11.	21.	31.
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7.	17.	27.	37.
8.	18.	28.	38.
9.	19.	29.	39.
10.	20.	30.	40.